

THE BOY WITH THE GOLDEN TROUSERS

This is a story about greed, about happiness, about poverty, about learning to play to your strengths, about overcoming your natural tendencies, and about walking away.

Finally it is a nod to say thank you to you for being you.

One of my earliest memories of my mother was her telling me about an experience she had whilst studying for her nursing diploma. The teacher had set a piece of homework, which the aspiring nurses had to read.

The subject was **neurosis**. As my mother relayed it, upon reading the text, the entire class individually came to the conclusion that each and every one of them suffered from one neurosis or another.

What is a neurosis? In medical terms it was a diagnosis invented in the 18th century by psychologists as a way to describe various mental health conditions that could not be linked to a physical problem.

The definition of neurosis or neuroses is a mental and emotional disorder that affects only part of the personality, and which can be accompanied by a less distorted perception of reality than say in a psychosis. It does not generally result in disturbance of the use of language but can be and is often accompanied by various physical, physiological, and mental disturbances.

Typical neurotic behaviour, which you frequently see in humans can be things such as

- Being dramatic
- Out of proportion reaction to minor events
- Envy and dependency
- Perfectionism
- Guilt over body exploration (masturbation)
- Guilt over performance (I am hiding how well I am doing)
- Feeling of inadequacy (low self-esteem)

The list is long. Am I neurotic? Or shall I say, “do I display neurotic behaviours?” The answer is unequivocally yes. I have in fact yet to meet a human being who isn’t displaying neurotic behaviours in certain areas of their lives. However, like anything in life, there are degrees of severity. The lesser degree cases I call “quirks”. Those are the little things that perhaps actually give people their personality.

Around the same time my mother told me the story of her neurosis experience, there was a popular children's program on TV. It was from Sweden, and it was called The Boy with the Golden Trousers.

In essence, the boy was wearing a pair of trousers, which had a never-ending supply of money in its pockets. Every time he reached into his trousers, he could pull out a high denomination money note, one at a time. I LOVED that show. I can still now, 47 years later, remember how I felt about the program. I would imagine what I would do with all that money, if I had a pair of trousers like that.

My father on the surface was not perceived as a smart man. But he was a thinker. He had taken a machine master course, and then he sailed the seven seas for many years, working as an engine mechanic on the big transport ships.

Interesting story – and totally unrelated to the theme in this musing – he docked after a long stint on the sea in Liverpool in December 1954, to spend Christmas on land. The ship, Gerda Toft, sank during a horrible storm a few days later. It is interesting to ponder how fate and luck plays a vital invisible role in our lives. Just remember, if you ever are in doubt about how fucking special, you are, remember you won the sperm cell race over 200 million other fuckers. You won. They lost!

My father played the lottery but using a system. He would spend endless hours trying to develop number patterns for the lottery numbers. I doubt he was successful, if I look around at what I had (or didn't have) as a child. But he definitely had a propensity to see life through the prism of patterns.

Seeing that I loved the program about the boy with the golden trousers, he asked me once "What would you do, if you had a pair of trousers like that?"

"I would keep pulling out money from the trousers", I replied. "How long would you continue to do that?", he asked.

Pause.

"Until I had enough".

"How much do you want?"

Now for a 7-year-old, who really has no real concept of money, this is an impossible question to answer. However, perhaps as an adult, like you, it is a question you can meditate on. How much do you want? What will make you happy?

If I gave you an extra \$3 a day, would you be happy? Would it increase your happiness? Perhaps you would put it in piggy bank, and after a year, it may buy you something joyous. However, looked at in isolation, the \$3 is unlikely to impact your life right now today.

While \$3 means nothing to you, to the point of being inconsequential, that measly sum of money would mean the difference between abject poverty and transforming a life. People living in extreme poverty, on a dollar a day, can transform their lives moving from \$1 a day to \$4 a day.

Hans Rosling wrote a book called **Factfulness**, where he divides the world into four levels based on income. Level 1 live on \$2 a day or less, Level 2 on \$8 of less, Level 3 on \$32 and Level 4 on over \$32 a day.

To someone on Level 4, an extra few dollar more makes almost no difference because they already have life's necessities. But on Level 1 a dollar a day is the difference between having food and starving. As we move up the levels, the return on an extra dollar in terms of **happiness** falls.

At some point though, it is conceivable that earning more will have no impact on how happy we are on a day-to-day basis. At this point, we ought to then focus on increasing the amount of free time we take, improving our health and socialising more often.

This is exactly what empirical research finds. A 2010 paper by Daniel Kahneman and Angus Deaton finds that life-satisfaction increases with earnings up to around \$80,000 per year. After this point, earning more money has no noticeable effect on how people feel on a day-to-day basis.

So, is the conclusion to work hard until you earn \$80,000, and then you go and do something else? Well, that is an interesting question. This morning we made 27 DAX points. That equates to about \$7,000. Should I just trade 12 days a year, and then be done? Would that make me happy and satisfied?

Life satisfaction is connected to a large degree to social yardsticks – such as achieving goals and meeting expectations. In fact, I argue, much of our enjoyment in life isn't based around our own individual enjoyment but around comparing ourselves to other people.

For instance, with regard to money, life satisfaction rises in direct proportion to how much you have, but only until a certain point, as we discussed above.

In contrast, happiness is affected by money only when money is lacking. Poverty can buy a lot of suffering, but above the level of income that satisfies basic needs, happiness, as I define it, doesn't increase with wealth.

If money and happiness is shown on a chart, it would, as Al Brooks would state it "have a lot of inside bars in a trading range", once we reached the required income threshold.

OK. So far so good. How do we fit trading and neurosis and golden trousers into this debate? That is a damn fine question, and it is one I hope to answer in the next four hundreds or less.

Do I have a neurosis? Yes, I do. I have a “losing out” neurosis. However, I also have a “need to be useful” neurosis. I also have “I need to work” neurosis. I can rank these in terms of importance, and when one neurosis is stronger than another neurosis, the stronger neurosis neutralises the weaker neurosis.

My “losing out” neurosis manifests itself, when I take profit in DAX at 16,150, and then get an adrenaline surge in my belly, when I see DAX trade at 16,137. I sense a surge of regret. I sense a surge of “get back in – you are missing out”.

However, fortunately, I also have a “need to be useful neurosis”, and it states that the only way to be useful is to be profitable. I am lucky because now I am not trading just to be profitable. I am trading for others to be profitable too. I have transcended (beautiful word) my own needs for that of the many. It is the “ubuntu philosophy”.

If I didn't have “you”, I would not be me. I am because you are. That surpasses any neurosis my “golden trousers” analogy would subject me to, including pulling out money in all infinity, without ever resting, without ever enjoying myself and my life.

The human body and the human mind are not made for trading. The statistics is so clear about it. However, if you design a structure, which you can operate freely under, such as trading the School Run and leave or trading the Advanced School Run and SRS, and then leave, you actually have a significantly better chance of making this your career, than if you are without that structure.

That is the lesson of today. We can transcend (had to use that word again) our feeble bodies and minds, with all their shortcomings, through the use of a rigorous approach to trading. We can move beyond our fear-based minds through the use of mechanical entries, and in time practise removing ourselves without remorse from the marketplace, and go and do something else.

In other words, there is a diminishing return to sitting in front of the screen all day. After all the market will still be there when you return.

Until we meet again.

Tom Hougaard